

Shareholders' Funds

A company sources funds from shareholders either by the issue of shares or by ploughing back profits. Shareholders' funds represent the stake they have in the company, the investment they have made.

Share Capital

Share capital represents the shares issued to the public. This is issued in the following ways:

1. *Private Placement*: This is done by offering shares to selected individuals or institutions.
2. *Public Issue*: Shares are offered to the public. The details of the offer, including the reasons for raising the money, are detailed in a prospectus and it is important that investors read this. Till the scam of 1992 public issues were extremely popular as the shares were often issued to investors at a price much lower than its real value. As a consequence, they were oversubscribed many times. This is no longer true. As companies are now free to price their issues as they like and the office of the controller of capital issues has been abolished, companies typically price their shares at what the market can bear. As a consequence, the investing public are no longer applying blindly for new shares but do so only after a careful analysis.
3. *Rights Issues*: Companies may also issue shares to its shareholders as a matter of right in proportion to their holding. This was often done at a price lower than its market value and shareholders stood to gain enormously. With the new-found freedom in respect of pricing of shares, companies have begun pricing them nearer their intrinsic value. Consequently, these issues have not been particularly attractive to investors and several have failed to be fully subscribed.
4. *Bonus Shares*: Bonus shares are shares issued free to shareholders by capitalizing reserves. No monies are actually raised from shareholders. It can be argued, however, that if these shares are issued by capitalizing distributable reserves, i.e. profits not distributed as dividends, then, in effect, shareholders are contributing capital.